



Compliance Audit Report for the Financial Year Ended 31.03.2022

[Under Regulation 19(3) of The Securities and Exchange Board of India, (Investment Advisors) Regulation, 2013]

UDIN: 22146652AZLYBU1374

To,
The Board of Directors,
M/s EquityPandit Financial Services Private Limited
Surat, GJ, 395009

We have conducted the compliance audit under regulation 19(3) of The Securities and Exchange Board of India, (Investment Advisors) Regulation, 2013; for Investment Advisory Business of EquityPandit Financial Services Private Limited (U67120MP2013PTC048821) ["IA"], bearing Registration No. **INA000006688**, for the financial year period ended on 31st March, 2022.

The scope of our audit is restricted to forming an opinion on whether the IA is adhering to the regulations and guidelines laid down by the Securities and Exchange Board of India. Our audit does not vouch for completeness and accuracy of the data provided by the IA. Our audit report is based on random sample test check of data provided by the IA. We have put utmost effort to obtain a heterogenous sample from the available database. We have not physically visited the place of business of the IA, but conducted the audit by calling information as required.

Based on the information provided by you and inspection of records during the compliance audit. Our findings are reported as under:

Annexure-I

Name of BASL enrolled Investment Adviser	EQUITYPANDIT FINANCIAL SERVICES PRIVATE LIMITED
BASL Membership ID.	1684
SEBI Registration No.	INA000006688
Annual compliance Audit Report for FY ended	2021-2022

Annual Compliance Audit Report for F. Y 2021-2022				
Regulations	Particulars	Compliance Status	Reason for non- compliance/ Non-applicability	Action taken on adverse findings (duly approved by the individual IA / management of the non-individual IA)
Regulation 3	<u>Application for grant of certificate</u> (1) No person shall act as an investment adviser or hold himself out as an investment adviser unless he has obtained a certificate of registration from the Board under these regulations.	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 6	<u>Consideration of application and eligibility criteria</u> Regulation 6 states all matters, which are relevant for the purpose of grant of certificate of registration.	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 7	<u>Qualification requirement and certification</u> An individual investment adviser or a principal officer of a non-individual investment adviser registered as an investment adviser under these regulations and persons associated with investment advice shall have minimum qualification and certification requirements as mentioned in Regulation 7(1) and 7(2).	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/182 (Dated September 23, 2020) Clause (iv)	<u>Qualification and certification requirement.</u> Existing individual IAs above fifty years of age shall not be required to comply with the qualification and experience requirements specified under Regulation 7(1) (a) and 7(1) (b) of the amended IA Regulations. However, such IAs shall hold NISM accredited certifications and comply with other conditions as specifies under Regulation 7(2) of the amended IA regulations at all times.	Complied	The IA is a Body Corporate, The said Clause is Not Applicable	NA
		Not- Complied		
		✓ Not Applicable		
Regulation 8	<u>Net worth</u> (1) Investment advisers who are non- individuals shall have a net worth of not less than fifty lakh rupees. (2) Investment advisers who are individuals shall have net tangible assets of value not less than five lakh rupees.	✓ Complied*	NA	NA
		Not- Complied		
		Not Applicable		



Regulation 13	<u>Conditions of certificate</u> (b) The investment adviser shall inform the Board in writing, if any information or particulars previously submitted to the Board are found to be false or misleading in any material particular or if there is any material change in the information already submitted.	Complied	No false or misleading material information or material changes observed during the period under audit.	NA
		Not- Complied		
		√ Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause 2(v)	<u>Registration as Non-Individual Investment Advisor</u> An individual IA, whose number of clients exceed one hundred and fifty in total, shall apply for registration as non- individual investment adviser within such time as specified under this clause.	√ Complied	The IA is registered as Body Corporate Provision of said Clause Not Applicable	NA
		Not- Complied		
		√ Not Applicable		
Regulation 15	<u>General Responsibility</u> The regulation 15 imposes certain responsibilities on the Investment Adviser for the transactions it undertakes on behalf of its clients.	Complied	No such transactions observed	NA
		Not- Complied		
		√ Not Applicable		
Regulation 15 A	<u>Fees</u> Investment Adviser shall be entitled to charge fees for providing investment advice from a client in the manner as specified by the Board.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause	<u>Fees</u> Investment Advisers shall charge fees from the clients in either Assets under Advice (AUA) mode or Fixed fee mode.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 16	<u>Risk profiling</u> This involves profiling, assessing the risk appetite of each client individually, and communication of such profile to the respective client.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 17	<u>Suitability</u> Investment adviser shall ensure suitability of the advice being provided to the client.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause 2(viii)	<u>Risk profiling and suitability for non-individual clients.</u> (b) In case of non-individual clients, IA shall use the investment policy as approved by board/management team of such non-individual clients for risk profiling and suitability analysis. (c) The discretion to share the investment policy/relevant excerpts of the policy shall lie with the non-individual client. However, IA shall have discretion not to onboard non-individual clients if they are unable to do risk profiling of the non- individual client in the absence of investment policy.	Complied	The IA does not deal with non-individual clients.	NA
		Not- Complied		
		√ Not Applicable		
Regulation 18	<u>Disclosure to clients</u> This involves disclosure of all necessary information by the investment adviser to its clients.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 19	<u>Maintenance of records</u> This regulation requires maintenance of certain records, preservation of the same and audit of such records by the prescribed professional.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause 2(vi)	<u>Maintenance of record.</u> IA shall maintain and preserve records of interactions, with all clients including prospective clients, where any conversation related to advice has taken place, in the form as specified under this clause.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause 2(ii)	<u>Agreement between IA and the client.</u> IA shall enter into an investment advisory agreement with its clients as prescribed under this clause and shall ensure that neither any investment advice is rendered nor any fee is charged until the client has signed the aforesaid agreement.	√ Complied	NA	NA
		Not- Complied		
		Not Applicable		



Regulation 20	<u>Appointment of Compliance officer</u> An investment adviser shall appoint a compliance officer who shall be responsible for monitoring the compliance by the investment adviser.	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 21	<u>Redressal of client grievances</u> Investment adviser shall redress client grievances promptly through an adequate procedure.	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 22	<u>Client level segregation of advisory and distribution activities.</u> (1) An individual investment adviser shall not provide distribution services. (2) The family of an individual investment adviser shall not provide distribution services to the client advised by the individual investment adviser and no individual investment adviser shall provide advice to a client who is receiving distribution services from other family members. (3) A non-individual investment adviser shall have client level segregation at group level for investment advisory and distribution services. (4) Non-individual investment adviser shall maintain an arm's length relationship between its activities as investment adviser and distributor by providing advisory services through a separately identifiable department or division.	✓ Complied**	NA	NA
		Not- Complied		
		Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause 2(i)	<u>Client Level Segregation of Advisory and Distribution Activities.</u> Compliance and monitoring process for client segregation at group or family level shall be in accordance with the guidelines as specified under this clause.	✓ Complied**	NA	NA
		Not- Complied		
		Not Applicable		
Regulation 22A	<u>Implementation of advice or execution</u> (1) Investment adviser may provide implementation services to advisory clients, provided no consideration shall be obtained directly or indirectly either at group level or at family level. (2) Investment adviser shall provide implementation services only through direct schemes. (3) Investment adviser or group or family of investment adviser shall not charge any implementation fees from the client. (4) The client shall not be under any obligation to avail implementation services offered by the investment adviser.	Complied	The IA has not provided any implementation services either at group level or at family level directly or indirectly.	NA
		Not- Complied		
		✓ Not Applicable		
SEBI/HO/IMD/D F1/CIR/P/2020/1 82 (Dated September 23, 2020) Clause 2(ix)	<u>Display of details on website and in other communication channels.</u> IAs shall prominently display the information as specified under this clause, on its website, mobile app, printed or electronic materials, know your client forms, client agreements and other correspondences with the clients.	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		
(SEBI/HO/MIRSD 2/DOR/CIR/P/20 20/221) dated November 03, 2020)	Compliance of the SEBI circular for Advisory for financial Sector Organizations regarding Software as a Service (SaaS) based solutions for half-yearly ended 31 st March 2022 and 30 th September 2022.	✓ Complied	NA	NA
		Not- Complied		
		Not Applicable		



SEBI/HO/IMD/I MD-II CIS/P/CIR/2021/ 0686 (Dated December 13, 2021)	<u>Publishing Investor Charter and disclosure of Investor Complaints</u>	✓ Complied	NA	NA
	(2) All registered investment advisers are required to publish investor charter on their websites and mobile applications. If registered investment adviser does not have websites/mobile applications, then as a one-time measure, send investor charter to the investors on their registered e-mail address.	Not- Complied		
	(3) All registered investment advisers are required to disclose the details of investor complaints by seventh of the succeeding month on a monthly basis on their websites and mobile applications. If investment adviser does not have websites/mobile applications, then send status of investor complaints to the investors	Not Applicable		
Audit Observations:				
*In compliance to the provisions of Regulation 8(1) of the IA Regulations, the IA is required to comply with net worth requirements within three years from the date of commencement of the SEBI (Investment Advisers) (Amendment) Regulations, 2020, i.e., by 30-09-2023.				
** Refer Annual Compliance Certificate dated: 29/09/2022. The IA does not provide distribution or execution services at either group level or at family level.				

For, Pulkit V Mehta & Co.,
Chartered Accountants

FRN: 033026C

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CA Pulkit V Mehta

Prop.

Mem. No. 146652

Date: 29/09/2022

Place: Indore

For, EquityPandit Financial Services Private Limited

Ms. Abha Parakh

Director



Annual Compliance Certificate

To,
The Board of Directors,
M/s EquityPandit Financial Services Private Limited
Surat, GJ, 395009

Pursuant to the provisions of Reg. 22(5) of the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 and Clause 2(i)i. of the Guidelines for Investment Advisers issued by SEBI vid. Circular: SEBI/HO/IMD/DF1/CIR/P/2020/182, dated: September 23, 2020, we hereby certify and confirm that M/s EquityPandit Financial Services Private Limited, who is a Registered Investment Adviser bearing. SEBI Reg. No. INA000006688, is in compliance with the Provisions of Reg. 22 of the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013. Based on the Information provided to us during the course of Compliance Audit and As per the declaration received from the Investment Advisor, we hereby certify that, The Investment Adviser was not involved in any kind of Distribution and Execution Services during the period 01/04/2021 to 31/03/2022.

For, Pulkit V Mehta & Co.,
Chartered Accountants
FRN: 033026C

Date: 29/09/2022
Place: Indore

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CA Pulkit V Mehta
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Mem. No. 146652
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